CASH-FLOW STATEMENT

The Cash Flow Statement is a significant financial statement because it reveals how much cash the company is actually generating. Is this information not revealed in the P&L statement, as you might think? Well, the answer is both yes and no.
Consider the following scenario:
Assume a simple coffee shop selling coffee and short eats. All the shop's sales are mostly on a cash basis, meaning if a customer wants to have a cup of coffee and a snack, he needs to have enough money to buy what he wants. On a particular day, assume the shop manages to sell Rs. 2,500 worth of coffee and Rs. 3,000 worth of snacks. The shop's income is Rs. 5,500 for that day. Rs. 5,500 is reported as revenues in the P&L, and this is not ambiguous.
Now think about another business that sells laptops. For simplicity, let us assume that the shop sells only one type of laptop at a standard fixed rate of Rs. 25,000 per laptop. Assume that on a certain day, the shop manages to sell 20 such laptops. Clearly, the revenue for the shop would be Rs. 25,000 x 20 = Rs. 500,000. But what if five of the 20 laptops were sold on credit? A credit sale is when the customer takes the product today but pays the cash at a later point in time. In this situation, here is how the numbers would look:

- Cash sale: 25000 = 375,000
- Credit sale: 25000 = 125,000
- Total sales: Rs. 500,000

If this shop were to show its total revenue in its P&L statement, you would see revenue of Rs. 500,000, which may seem good on the face of it. However, how much of this Rs. 500,000 is actually present in the company's bank account is not clear. What if this company had a loan of Rs. 400,000 that had to be repaid urgently? Even though the company has a sale of Rs. 500,000, it has only Rs. 375,000 in its account. This means the company has a cash crunch, as it cannot meet its debt obligations.

The Cash Flow Statement captures this information. A statement of cash flows should be presented as an integral part of an entity's financial statements. Hence, in this context, evaluation of the Cash Flow Statement is highly critical as it reveals, among other things, the true cash position of the company.
To sum up, every company's financial performance depends not so much on the profits earned during a period, but more realistically on liquidity or cash flows.

Activities of a company:

Before we understand the cash flow statement, it is important to understand 'the activities' of a company. If you think about a company and its various business activities, you will realize that the company's activities can be classified under one of the three standard baskets. We will understand this in terms of an example.

Imagine a business, maybe a very well-established fitness center (Talwalkars, Gold's Gym, etc.) with a sound corporate structure. What are the typical business activities you think a fitness center would have?

Let me go ahead and list a few business activities:

1. Display advertisements to attract new customers
2. Hire fitness instructors to help clients in their fitness workouts
3. Buy new fitness equipment to replace worn-out equipment.
4. Seek a short-term loan from bankers
5. Issue a certificate of deposit to raise funds
6. Issue new shares to a few known friends to raise fresh capital for expansion (also called preferential allotment)
7. Invest in a startup company working towards innovative fitness regimes
8. Park excess money (if any) in fixed deposits
9. Invest in a building coming up in the neighborhood to open a new fitness center sometime in the future
10. Upgrade the sound system for a better workout experience

As you can see, the above-listed business activities are quite diverse; however, they are all related to the business. We can classify these activities as:

1. Operational activities (OA): Activities related to the daily core business operations are called operational activities. Typical operating activities include sales, marketing, manufacturing, technology upgrade, resource hiring, etc.
2. Investing activities (IA): Activities about investments that the company makes intending to reap benefits at a later stage. Examples include parking money in interest-bearing instruments, investing in equity shares, investing in land, property, plant and equipment, intangibles, and other non-current assets, etc.
3. Financing activities (FA): Activities about all financial transactions of the company such as distributing dividends, paying interest to service debt, raising fresh debt, issuing corporate bonds, etc.

Cash Flow Statement

All activities a legitimate company performs can be classified under one of the above three mentioned categories. Keeping the above three activities in perspective, we will now classify each of the above-mentioned activities into three categories/baskets.

1. Display advertisements to attract new customers - OA
2. Hire fitness instructors to help customers with their fitness workout - OA
3. Buy new fitness equipment to replace worn-out equipment - OA
4. Seek a short-term loan from bankers - FA
5. Issue a certificate of deposit (CD) for raising funds - FA
6. Issue new shares to a few known friends to raise fresh capital for expansion (also called preferential allotment) – FA
7. Invest in a startup company working towards innovative fitness regimes - IA
8. Park excess money (if any) in a fixed deposit - IA
9. Invest in a building coming up in the neighborhood for opening a new fitness center sometime in the future - IA
10. Upgrade the sound system for a better workout experience - OA

Now think about the cash moving in and out of the company and its impact on the cash balance. Each activity that the company undertakes has an impact on cash. For example, "Upgrade the sound system for a better workout experience" means the company has to pay money towards purchasing a new sound system. Hence the cash balance decreases. It is also interesting to note that the new sound system itself will be treated as a company asset.

Let's start correlating the 'Cash Balance' and 'Asset/Liability'. You will observe that:

1. Whenever the liabilities of the company increase, the cash balance also increases. This means if the liabilities decrease, the cash balance also decreases.
2. Whenever the asset of the company increases, the cash balance decreases. This means if the assets decrease, the cash balance increases.

The above conclusion is the key concept while constructing a cash flow statement. Also, extending this further, you will realize that each company's activity, be it operating activity, financing activity, or investing activity, either produces cash (net increase in cash) or reduces (net decrease in cash) the cash for the company.
Hence the total cash flow for the company will be:

Cash Flow of the company = Net cash flow from operating activities + Net cash flow from investing activities + Net cash flow from financing activities